

ACCOUNTANCY: TOP 50 REPEATED QUESTIONS

Comprehensive Study Guide for Board Examinations

★ 2 MARKS QUESTIONS (Conceptual & Small Adjustments)

1. Define sacrificing ratio and state its use.

Sacrificing ratio is the ratio in which old partners surrender a portion of their profit share in favour of a new partner. It is calculated as (Old Ratio - New Ratio). It is primarily used to distribute the "Premium for Goodwill" brought by the incoming partner among the old partners for their sacrifice.

 *Highly Repeated: 4 Years Pattern*

2. Define gaining ratio and when it is used.

Gaining ratio is the ratio in which the continuing partners acquire the share of the outgoing (retiring or deceased) partner. It is calculated as (New Ratio - Old Ratio). This ratio is used to compensate the retiring partner by debiting the gaining partners' capital accounts for their share of goodwill.

 *Highly Repeated: 4 Years Pattern*

3. Why is goodwill distributed among old partners at admission?

Goodwill is the value of the reputation of a firm built by the hard work of old partners over previous years. Since the new partner will benefit from this reputation in the future, they must compensate the old partners by paying a premium, which is distributed in the sacrificing ratio.

 *Highly Repeated: 3 Years Pattern*

4. How is general reserve treated on admission of partner?

General Reserve represents undistributed profits earned by old partners before the new partner's admission. Therefore, it is transferred to the Capital Accounts of old partners in their Old Profit Sharing Ratio to ensure the new partner does not get an unearned share of past savings.

 *Highly Repeated: 3 Years*

5. State treatment of accumulated losses at admission.

Accumulated losses (like P&L Dr. balance or Advertisement Suspense) are debited to the Old Partners' Capital Accounts in their Old Profit Sharing Ratio. This reflects that the burden of past losses must be borne by those who were partners when the losses were incurred.

 *Highly Repeated: 3 Years*

6. How are unrecorded assets treated during dissolution?

When an unrecorded asset is realized (sold for cash), the amount received is credited to the Realisation Account. If a partner takes it over, the partner's capital account is debited and the Realisation Account is credited. It helps in determining the final profit or loss on dissolution.

 *Highly Repeated: 4 Years*

7. How are unrecorded liabilities treated during dissolution?

Unrecorded liabilities are treated similarly to recorded ones. When paid, the Realisation Account is debited and Cash/Bank Account is credited. If a partner agrees to pay it, the Realisation Account is debited and that Partner's Capital Account is credited.

 *Highly Repeated: 4 Years*

8. How is cash balance transferred during dissolution?

Cash or Bank balances are not transferred to the Realisation Account. Instead, a separate Cash/Bank Account is maintained. All assets realized are debited to this account, and all liabilities/expenses paid are credited to it. The account eventually closes after final payments to partners.

 *Highly Repeated: 3 Years*

9. Where are realisation expenses recorded?

If paid by the firm, they are debited to the Realisation Account and credited to Cash. If a partner bears and pays them, no entry is needed. If the firm pays on behalf of a partner, the Partner's Capital A/c is debited and Cash is credited.

 *Highly Repeated: 4 Years*

10. What is authorised share capital?

Authorised or Nominal Capital is the maximum amount of share capital that a company is authorised to issue by its Memorandum of Association. The company cannot issue more than this amount to the public during its lifetime unless the Memorandum is amended.

 *Highly Repeated: 5 Years*

11. Define subscribed capital.

Subscribed capital is that part of the issued capital which has been actually taken up or applied for by the public. It can be further classified into "Subscribed and fully paid-up" and "Subscribed but not fully paid-up" based on the status of calls received.

 *Highly Repeated: 4 Years*

12. State maximum discount allowed on reissue of forfeited shares.

According to the Companies Act, the discount allowed on the reissue of forfeited shares cannot exceed the amount already forfeited (received) on those shares. Any excess gain after reissue is transferred to the Capital Reserve Account.

 *Highly Repeated: 5 Years*

13. What is capital reserve?

Capital Reserve is a reserve created out of capital profits, such as profit on the sale of fixed assets, profit on the reissue of forfeited shares, or premium on the issue of shares/debentures. It is not available for distribution as dividends to shareholders.

 *Highly Repeated: 4 Years*

14. Why is loss on issue of debentures treated as a fictitious asset/deferred expense?

"Loss on Issue of Debentures" (including discount and premium on redemption) is a heavy capital loss. Since its benefit (use of funds) lasts over the tenure of the debentures, it is written off gradually over that period rather than being charged to a single year's P&L.

 *Highly Repeated: 4 Years*

15. Define debenture redemption premium.

It is the extra amount over the face value that a company agrees to pay to debenture holders at the time of redemption. It is a liability for the company and is recorded at the time of issue itself as "Premium on Redemption of Debentures A/c".

 *Highly Repeated: 3 Years*

★ 3 MARKS QUESTIONS (Numerical & Adjustments)

16. Journal entry for goodwill brought by new partner in cash.

First, record receipt: **Bank A/c Dr. to Premium for Goodwill A/c**. Second, distribute among sacrificing partners: **Premium for Goodwill A/c Dr. to Sacrificing Partners' Capital A/cs** (in sacrificing ratio). This compensates the old partners for their loss of profit share.

 *Highly Repeated: 5 Years*

17. Adjust goodwill without opening a goodwill account.

In this case, an adjustment entry is passed through the capital accounts: **New Partner's Current/Capital A/c Dr. to Old Partners' Capital A/cs** (in sacrificing ratio). This method is used when the new partner is unable to bring their share of goodwill in cash.

 *Highly Repeated: 5 Years*

18. Calculate hidden goodwill.

Hidden goodwill is found by calculating the total capital of the firm based on the new partner's contribution (New Partner Capital × Reciprocal of share) and subtracting the actual combined net worth (sum of all partners' capitals + reserves - losses) of the firm.

 *Highly Repeated: 4 Years*

19. Pass entry for amount due to retiring partner.

The total amount due is transferred from their capital account: **Retiring Partner's Capital A/c Dr. to Retiring Partner's Loan A/c**. Use "Cash/Bank" instead of Loan if the payment is made immediately. The loan carries interest if not paid.

 *Highly Repeated: 5 Years*

20. Pass entry for goodwill adjustment at retirement.

The adjustment is made by debiting the continuing partners: **Gaining Partners' Capital A/cs Dr. to Retiring Partner's Capital A/c** (in gaining ratio). This ensures the retiring partner gets their share of the firm's reputation value.

 *Highly Repeated: 5 Years*

21. Pass entry for increase in provision for bad debts.

An increase in provision is a loss/liability increase, so it is debited to Revaluation: **Revaluation A/c Dr. to Provision for Doubtful Debts A/c**. This reduces the profit available for partners during the re-constitution of the firm.

 *Highly Repeated: 4 Years*

22. Pass entry for decrease in asset value.

A decrease in asset value is a loss. Entry: **Revaluation A/c Dr. to Asset A/c**. This entry is made during admission, retirement, or death to bring assets to their current market values.

 *Highly Repeated: 4 Years*

23. Pass entry when partner takes over creditors during dissolution.

The firm's liability to creditors is now a liability towards the partner. Entry: **Realisation A/c Dr. to Partner's Capital A/c**. This increases the partner's capital balance as they have relieved the firm of an external debt.

 *Highly Repeated: 4 Years*

24. Pass entry when debtors are realised at a discount.

Only the actual amount received is recorded. Entry: **Bank/Cash A/c Dr. to Realisation A/c**. There is no separate entry for the discount, as the Realisation Account automatically captures the net profit or loss by comparing book value with realized value.

 *Highly Repeated: 4 Years*

25. Pass forfeiture entry for non-payment of allotment money.

Entry: **Share Capital A/c Dr. (Called-up) to Share Allotment A/c (Unpaid) and to Share Forfeiture A/c (Paid)**. If the premium was due but not received, Securities Premium A/c is also debited.

 *Highly Repeated: 5 Years*

26. Pass reissue entry of forfeited shares.

Entry: **Bank A/c Dr. (Actual price) and Share Forfeiture A/c Dr. (Discount) to Share Capital A/c (Face value)**. The debit to Share Forfeiture represents the discount given, limited to the amount originally forfeited.

 *Highly Repeated: 5 Years*

27. Pass entry for issue of debentures at a discount.

Entry: **Bank A/c Dr. (Net received) and Discount on Issue of Debentures A/c Dr. to % Debentures A/c**. The discount is eventually written off from the Statement of Profit and Loss or Securities Premium.

 *Highly Repeated: 4 Years*

28. Pass entry for purchase of asset by issue of debentures.

First: **Asset A/c Dr. to Vendor A/c**. Second: **Vendor A/c Dr. to % Debentures A/c**. If issued at a premium or discount, the Vendor account is debited with the purchase price and the difference is adjusted in the Debentures/Premium accounts.

 *Highly Repeated: 4 Years*

29. Calculate operating profit ratio.

Operating Profit Ratio = $(\text{Operating Profit} / \text{Revenue from Operations}) \times 100$. Alternatively, it can be calculated as **100% – Operating Ratio**. It measures the operational efficiency and profitability of the business.

 *Highly Repeated: 5 Years*

30. Identify effect of transaction on current ratio.

The current ratio (Current Assets / Current Liabilities) changes based on proportional shifts. For example, paying a current liability in cash reduces both CA and CL by the same amount, which usually **improves** the ratio if it was already above 1:1.

 *Highly Repeated: 5 Years*

★ 4 MARKS QUESTIONS (Compulsory / Long Problems)

31. Prepare revaluation account at admission.

This account records increases in liabilities/decreases in assets on the Debit side, and increases in assets/decreases in liabilities on the Credit side. The balancing figure (Profit/Loss) is transferred to Old Partners' Capital Accounts in their Old Ratio.

 *Repeated: 6 Years Pattern*

32. Prepare partners capital accounts after admission.

Include Opening Balances, Revaluation Profit/Loss, General Reserve distribution, Premium for Goodwill brought by new partner (Sacrificing ratio), and any adjustment of capitals based on the new profit-sharing ratio.

 *Repeated: 6 Years Pattern*

33. Prepare deceased partner's capital account.

Credit items: Opening balance, Interest on Capital, Share of Goodwill, Share of Revaluation Profit, and **Share of Profit till the date of death** (calculated via P&L Suspense A/c). The total is transferred to the Deceased Partner's Executor's Account.

 *Highly Repeated: 5 Years*

34. Prepare gaining ratio and goodwill adjustment for retirement.

First, calculate Gaining Ratio (New - Old). Then, calculate the retiring partner's share of firm's goodwill. Pass the adjustment entry: Gaining Partners Dr. to Retiring Partner. This reflects the payment for the share acquired by continuing partners.

 *Highly Repeated: 5 Years*

35. Prepare capital accounts after retirement.

Accounts are adjusted for Revaluation, Reserves, and Goodwill. The retiring partner's balance is transferred to their Loan Account or paid in cash. Continuing partners' balances are adjusted if the question specifies capital proportionate to the new ratio.

 *Highly Repeated: 5 Years*

36. Prepare realisation account.

All assets (except cash/bank/fictitious) are transferred to the Debit side at book value. External liabilities are transferred to the Credit side. Realized values are credited; payments are debited. The balance is the profit or loss on dissolution.

 *Repeated: 6 Years Pattern*

37. Prepare partners capital accounts at dissolution.

Starting with initial balances, add realization profit (or subtract loss). Partners taking over assets are debited; those taking over liabilities are credited. Final settlement is made by paying cash to partners or receiving cash from them.

 *Repeated: 6 Years Pattern*

38. Journal entries for issue of shares with oversubscription (Pro-rata).

Steps: 1. Application money received. 2. Allocation to Share Capital and excess applied to Allotment/Refund. 3. Call money due and received. This requires a table to track excess application money adjustments.

 Repeated: 6 Years Pattern

39. Journal entries for forfeiture and reissue.

Requires three main entries: Forfeiting the shares (cancelling capital), Reissuing the shares (at bank price), and transferring the net gain (Forfeiture Cr - Forfeiture Dr) to the **Capital Reserve Account**.

 Repeated: 6 Years Pattern

40. Issue of debentures at discount and redemption premium.

Entry: **Bank A/c Dr., Loss on Issue of Debentures A/c Dr. to % Debentures A/c and to Premium on Redemption A/c**. The "Loss on Issue" includes both the issue discount and the future redemption liability.

 Highly Repeated: 5 Years

41. Calculate number of debentures issued for asset purchase.

Formula: $\text{Number of Debentures} = (\text{Purchase Price} - \text{Cash Paid}) / \text{Issue Price per Debenture}$. Note that "Issue Price" is Face Value + Premium OR Face Value - Discount. fractional debentures involve a cash payment.

 Highly Repeated: 5 Years

42. Calculate Debt Equity Ratio and Interest Coverage Ratio.

Debt Equity = $\text{Long-term Debt} / \text{Shareholders' Funds}$. Interest Coverage Ratio = $\text{Net Profit before Interest \& Tax} / \text{Fixed Interest Charges}$. These ratios judge solvency and the ability to service debt.

 Highly Repeated: 4 Years

43. Calculate Quick Assets using given ratios.

Quick Assets = $\text{Current Assets} - (\text{Inventory} + \text{Prepaid Expenses})$. These are assets that can be converted into cash almost immediately. Use the Quick Ratio ($\text{Quick Assets} / \text{Current Liabilities}$) to calculate missing values.

 Highly Repeated: 4 Years

44. Calculate cash flow from investing activities.

Focus on the purchase/sale of fixed assets and investments. Cash inflows include sales proceeds and interest/dividends received. Outflows include payments for new assets. Always check the "Accumulated Depreciation" account for hidden sales.

 *Highly Repeated: 5 Years*

45. Calculate cash flow from operating activities (Indirect Method).

Start with Net Profit Before Tax. Add back non-cash (depreciation, goodwill written off) and non-operating expenses (interest paid). Adjust for changes in Current Assets and Current Liabilities (Working Capital changes). Finally, deduct tax paid.

 *Highly Repeated: 5 Years*

46. Explain the pillars of a Computerised Accounting System (CAS).

The five pillars are: 1. **Data** (Input), 2. **People** (Users/Administrators), 3. **Procedures** (Rules for processing), 4. **Hardware** (Physical machines), and 5. **Software** (Accounting programmes). This is part of the "Computerised Accounting" optional section.

 *Highly Repeated: 4 Years*

47. Explain sequential and block coding.

Sequential coding assigns numbers in a continuous order (001, 002). Block coding groups accounts into blocks (e.g., 100-199 for Assets, 200-299 for Liabilities). Block coding is better for categorisation in digital databases.

 *Highly Repeated: 4 Years*

48. Explain types of digital vouchers.

1. **Post-dated Voucher:** For transactions occurring in the future. 2. **Memo Voucher:** Does not affect ledgers; used for reminders. 3. **User Defined:** Customised headers based on specific business needs for classification.

 *Highly Repeated: 4 Years Pattern*

49. Classify items in Balance Sheet as per Schedule III.

Requires categorising items under correct Headings (e.g., Non-current Liabilities) and Sub-headings (e.g., Long-term Borrowings). Important items include Loose tools (Inventories), Claims not acknowledged (Contingent Liabilities), and Interest Accrued.

 *Highly Repeated: 5 Years*

50. Prepare comparative statement of Profit & Loss.

Prepare a four-column table: Previous Year, Current Year, Absolute Change (B-A), and Percentage Change ($\text{Change/A} \times 100$). This provides a horizontal analysis of the company's financial performance over time.

 *Highly Repeated: 5 Years*